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Does California need Delaware? Explaining Indonesian, Chinese, and United States support for legality compliance of internationally traded products

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Abstract

The purpose of this paper is to shed light on the emergence and institutionalization of a unique form of transnational business governance (TBG): legality verification (LV) systems, which track products along global supply chains. Instead of imposing wide ranging global standards commonly applied through "gold standard" certification systems, LV helps domestic governments enforce their own laws. Three processes help explain why Indonesia (as a producer), China (as a manufacturer) and the United States (as a consumer) moved, in the 2000s, from lukewarm interest or opposition to formalized support: how triggers enabled by economic interdependence are pulled; how ceding of instrument/process state sovereignty may reinforce substantive sovereignty; and historical institutional processes that shift organizational interests and problem definitions. Looking backward, the empirical results are consistent with a "Delaware effect" in which economic globalization is asserted to lead to a "ratcheting down" of environmental and social standards. Looking forward, we theorize about, and identify the conditions through which, widespread coalitions in support of the *institution* of LV, may pave the way for a "ratcheting up" process that is consistent with, but nuances, Vogel's "California effect."

Keywords: California effect, legality verification, private governance, supply chains, transnational business regulation.

1. Introduction

A key challenge facing students of regulation, in the global era, is to better understand what types of policy initiatives might help ameliorate enduring environmental and social challenges in a world characterized by the increasing fragmentation of governance, authority, and institutions (Bernstein *et al.* 2011). There is arguably no greater illustration of the importance of this task than the case of tropical deforestation and degradation, where despite 30 years of international, regional, and domestic policy initiatives, ongoing resource deterioration continues to vex practitioners, as well as environmental governance and regulation scholars. The purpose of this paper is to analyze the synergistic potential and pitfalls of one of the latest global policy initiatives designed to promote environmental and social stewardship in the forest sector: the case of "legality verification" (LV). Champions of this approach are turning to what Eberlein *et al.*

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(2014) term "transnational business governance" (TBG) as a way to curb illegal activity in the forest sector by "verifying" and tracking legal sources. These efforts are designed to trigger what Eberlein *et al.* term "transnational business governance interaction" (TBGI) (Eberlein *et al.* 2014) because the focus is on compliance with domestic laws and policies.

These initiatives are situated within a complex myriad of public and private governance arrangements (Biermann *et al.* 2009). To date, most scholars have focused on particular institutional arenas, such as international regimes (Keohane & Victor 2011) governing specific problems (Raustiala & Victor 2004; Rayner *et al.* 2011), domestic policy interactions in which "basket" approaches (Gunningham *et al.* 1998; del Río 2010; Oikonomou *et al.* 2010) are applied in an effort to improve behavioral impacts, or the role of international pathways in shaping domestic policy choices (Simmons 2009; Bernstein *et al.* 2011). While there is growing interest in understanding how different institutional settings interact, few studies, as Eberlein *et al.* note in this volume, have probed deeply into the causal mechanisms that might foster their institutionalization (Gehring & Oberthür 2009). As a result, little is known about the uptake of LV as a form of TBG, nor its TBGI potential, which draws on global supply chains whose producers, manufacturers, and consumers cut across very different country-level settings. This paper addresses this gap by asking two related questions: What explains historical and current support for LV as TBG? What are the implications of these findings for understanding the evolutionary potential of TBG and TBGI? Attention to the first question reveals an empirical puzzle: a decade ago, support for the TBG concept of LV in Indonesia (a producing country), China (a manufacturer), and the United States (US) (an importer/consumer) was lukewarm at best. Yet as of 2012, all three national governments introduced formalized policies and/or legislation in support of LV.

What explains these domestic policy changes in support of TBG? Drawing deductively on existing theories of the emergence of, and support for, transnational regulation (Vogel 1995; Bernstein & Cashore 2000, 2012; Cashore *et al.* 2004), as well as inductively from our empirical research, we argue that scholars revisit, and nuance, the role of three factors the literature has found to have some type of causal influence: economic (inter) dependence; the norm of sovereignty; and "historical institutionalist" processes in each country that shape the role, approach, and organizational capacity of government administrative agencies, business, and societal interests.

In particular, we argue that while economic integration is a prerequisite, its existence does not correlate with support for TBG until triggers situated within global supply chains are pulled; that sovereignty over substantive policy outcomes may be reinforced by ceding sovereignty over instrument choice; and that domestic support occurs when historical events lead to coalitions that unite disparate business, government, and environmental actors.

If borne out by further scrutiny, our analysis carries significant implications for existing debates about the effects of increasing economic integration on environmental and social policies. Many scholars argue that economic globalization can lead to a regulatory "race to the bottom" as countries lower environmental and social standards as a way to attract, or maintain, capital and investment (Daly 1993). This process has been labeled the "Delaware effect" to capture how this state's "management friendly" regulatory and tax structure enticed firms to relocate from other states (Vogel & Kagan 2004). However, Vogel's (1995) path-breaking research found that under certain conditions, economic integration could yield to a "ratchet up" of standards. In particular, Vogel highlighted the phenomenon in which firms operating in relatively highly regulated jurisdictions coalesce with environmental groups, creating "Bootleggers and Baptists" coalitions, whose purpose is to champion increased environmental and social

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regulations on less regulated competitors by targeting sub-national and national jurisdictions, or intergovernmental agreements (Esty 1994). Vogel termed this phenomenon the "California effect," to capture those cases in which highly regulated jurisdictions did not always produce capital flight, but also capital preservation, by targeting sub-national states with weak environmental and social standards.

While debates continue about whether the "Delaware effect" or the "California effect" better explain regulation in the global era, our analysis points to the need to integrate insights from *both* perspectives if we are to better understand institutionalization of TBG in general, and the divergence puzzle in our cases, in particular. As we elaborate in the conclusion, our analysis suggests that, unlike Vogel's work on domestic and international public policies that already had policymaking authority, TBG scholars must assess how "upward" and "downward" pressures influence the institutionalization of TBG governance *authority*. Recognition of this leads to "two phases" of TBG emergence in which modest standards that embrace, rather than detract from sovereignty, are required to nurture domestic and global coalitions of "Bootleggers and Baptists" which, once entrenched, might generate higher standards while maintaining multi-stakeholder coalitions. The first phase seems more consistent with "Delaware effect" processes while the second phase is more consistent with "California effect" logics.

We illustrate and expand these arguments in the following analytical steps. Following this introduction, section two justifies our research design and methods. Third, we highlight the key characteristics of LV within the context of TBG literature. Fourth, we document the shift in the 2000s from opposition to support for LV in each of our cases. Fifth, we review the strategic orientation of relevant governmental, economic, and societal organizations that appear to have played an intervening role in influencing domestic policy responses. Section six assesses the influences of market interdependence, sovereignty, and historical institutionalist processes in accounting for the changes in domestic policy responses. We conclude by assessing the implications of our analysis for integrating non-linear evolutionary perspective, and the implications this approach raises for the potential of TBG evolution and interaction.

2. Research design and methods: Backwards and forwards

The empirical portion of our paper draws on "process tracing" that includes paying attention to complex causal trajectories common within public policy (Hall 1986; Hacker 2002) (Heidenheimer *et al.* 1990) and comparative politics (Lijphart 1975). These projects draw on, but expand linear correlational relationships commonly applied in quantitative methods to include more nuanced qualitative analysis – processes often "black boxed" by quantitative research. We focus on identifying select domestic historical processes that appear to help explain current domestic support for TGB governance, and to which further scholarly scrutiny ought to be placed. The conclusion "applies forward" our analysis to reflect on implications for whether LV might either "lock-in" the "low bar" or alternatively "ratchet up" standards. As Patomäki (2006, p. 12) argues, social scientists do not just look at the past for its own sake, but because "[w]e are also interested in other possible and likely futures, and in determining the ways in which our actions and the actions of others contribute – sometimes via unintended effects and consequences – to making some of them real." Such a reorientation, as Bernstein *et al.* (2000) argued over a decade ago, challenges most empirical social science focused on explaining empirically measurable phenomenon that have already occurred, rather than theorizing about the contingent empirical pathways on which we are embarked, and through which strategic interventions shape and influence pathways in often unpredictable ways.[1]

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3. Legality verification as Transnational Business Governance (TBG)

The idea of verifying whether production and manufacturing of consumer goods have followed the laws of the countries of origin has been gaining increasing interest by those championing improved apparel manufacturing facilities, and extractive processes within mining, fisheries, and oil and gas production. Within forestry, such an interest has coalesced by those seeking to combat "illegal logging." While no universally accepted definition exists, those groups addressing illegal logging share a common purpose in reducing illegal conversion of forests to other agriculture crops (deforestation); logging processes that ignore a range of governmental environmental and social policies, such as maintaining "no logging" buffer zones near streams and/or failure to comply with health and safety standards; and "theft" by logging on lands owned by others. For reasons we explain below, this definition has expanded to include not only "on the ground" practices, but also addresses those companies who contravene national log export bans, which have been introduced to encourage domestic manufacturing processes.

Approaches to institutionalize LV have borrowed from private certification or "Non-State Market Driven" (NSMD) global governance that was developed to bypass slow intergovernmental processes; as well as domestic public policy focused "good forest governance" efforts that development agencies have been promoting within tropical countries for assisting them in addressing widespread governance challenges and domestic capacity building needs. Similar to "good forest governance" initiatives, LV efforts seek to improve the ability of developing country governments to enforce their own substantive policy requirements, explicitly reinforcing, rather than detracting from, national sovereignty. Like NSMD systems, LV's mechanism for weeding out illegal logging is to track legal wood along global supply chains that cut across multiple jurisdictions. Likewise, third party auditing, rather than relying on traditional enforcement agencies, is emerging as a key mechanism to assure legal compliance (Table 1). As a result, sovereign governments are increasingly allowing non-domestic organizations to act as auditors for environmental compliance, mirroring trends in other arenas, such as election monitoring (Hyde 2009).

For these reasons, LV carries the promise of helping realize the strategic self interest of a range of domestic organizations and actors: legal producers have a self-interest in support, as weeding out illegal supply is expected to increase prices; governments have a self-interest, as tax revenue is expected to increase, as well as improving general efforts to promote the "rule of law;" while environmental and social activists see important, albeit modest, improvements in on the ground behaviors governing environmental and social practices (Table 2). What is important for our story is that unlike certification, support is now emerging not through consumer preferences for green products upon which NSMD systems largely rely, but through trade legislation by governments such as the US, the European Union (EU), and Australia that require importers of wood products to proactively ensure that their products were not derived from illegal sources.[2]

Table 1 Key features of legality verification as transnational business governance

Role of governments	Sovereignty over policy *substance* reinforced, not challenged
Policy scope	Relatively modest
Assurance	Third party verification
Role of markets	Tracking along supply chain

Source: Cashore and Stone (2012), drawing on Cashore (2002); Cashore *et al.* (2004); and Bernstein and Cashore (2007).

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Table 2 Stakeholder incentives for legality verification as transnational business governance

Legal firms/producers	Weeding out supply increases prices
Government	Increases tax revenue, helps weak states promote "rule of law"
Non-governmental organizations	Reduces illegal environmental and social activities

In the case of the EU, producer countries can enter into "voluntary partnership agreements" (VPAs) to formalize and institutionalize domestic commitments in exchange for access to the EU markets.

4. The empirical puzzle: From opposition to support in Indonesia, China, and the United States

Our review of domestic responses to transnational supply chain signals to support LV reveals variation across time within each of our country cases. In the 1990s, domestic opposition among most tropical developing countries was so strong that even the mention of "illegal logging" in international forums was viewed as inappropriate. Similarly, environmental groups and US business interests were quite cautious about the potential of LV to promote organizational objectives. Yet by 2012, the US, China, and Indonesia all passed legislation in support of and/or formalized LV.

4.1. Indonesia

The first formal recognition by the government of Indonesia of the need to address illegal logging came in 2002 when it initiated the *Badan Revitalisasi Industri Kehutanan* (BRIK, Indonesian Institute for the Revitalization of the Timber Industry), which was charged with monitoring and verifying that timber harvesting and production complied with relevant laws and regulations. To accomplish these objectives, BRIK issued certificates of legality (*Eksportir Terdaftar Produk Industri Kehutanan* or "ETPIK") to export-oriented forest companies. However, many questioned whether this approach reinforced, rather than addressed, the problem of illegal logging by failing to create standardized approaches within Indonesia (Brown & Stolle 2009) and for creating an environmental in which "black market" certificates were easily produced (Colchester 2006). As a result, some wondered whether these initiatives were little more than paper exercises, with little intention to champion meaningful changes (Tacconi 2008).

In 2003, the Indonesian government appeared, on paper, to step up its efforts by beginning to draft legislation that would create the Timber Legality Assurance System (TLAS), formally known by its Indonesian name, *Sistem Verifikasi Legalitas Kayu* (SVLK). However, four years later, drafting was still not complete, leading many non-governmental organizations (NGOs) and international agencies to question Indonesia's resolve. Yet by late 2007, legislation was finally submitted by the Indonesian negotiators to the Ministry of Forests for approval, and, in 2008 the SVLK was signed into law. In a departure from previous efforts that were criticized as limited, independent "third parties" were charged with auditing to assess whether managers and companies were in compliance with Indonesian law (Luttrell *et al*. 2011). In addition, civil society was empowered to provide independent monitoring and to submit objections (Government of Indonesia and European Union Delegation to Indonesia 2011). In sum, the case of

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Indonesia displays a progression from no support in 1999, to weak support in 2001, and, finally, to formal and legislated commitments in 2008.

4.2. China

The first formal approach from China to address LV followed the 2002 G8 Forestry Action Programme (Toyne *et al.* 2002), which subsequently produced the "Bali Action Plan" on illegal logging. The Chinese State Forestry Administration (SFA), which has responsibility for developing domestic and international forest policy commitments, initiated three policy responses.[3] First, the SFA declared that illegal logging was not a problem within China, but rather, concerned challenges in other countries, such as Indonesia. Second, despite evidence to the contrary (Chrystanto 2004), the SFA also provided assurances that its current systems ensured that tropical imports coming into China were compliant with the laws of the country of origin. Third, to assuage concerns, the SFA signed a 2002 memorandum of understanding (MOU) with Indonesia designed to reduce illegal exports through information exchanges (Governments of China and Indonesia 2002; Hurd & Simorangkir 2011). However, the MOU was generally viewed as a "paper exercise" with few observable effects in either country (Tacconi *et al.* 2004). No formal efforts were made by the SFA to change internal policies governing LV.

However, beginning in 2008, China changed course by formalizing a nationwide approach to LV. The hallmark of this effort was the development of the Chinese National Timber LV System, officially launched in December 2009. This system (implementation of which would continue throughout 2010), draws on China's extensive permitting systems to establish chain of custody for all legally verified forest products within the Chinese forestry sector (Sun & Canby 2010).[4] China also moved to strengthen the original Sino-Indonesian agreement by initiating a second MOU with more formalized commitments and actionable items, such as enhancing communication around legal compliance challenges (Hurd 2011). The SFA also undertook two proactive efforts to assist Chinese operators: providing guidelines for domestic forest operations about how to meet legal requirements; and working with the World Wide Fund for Nature (WWF) to develop joint "sustainable trade" guidelines focusing on how export-oriented companies might meet international LV demands.[5]

4.3. The United States

While the problem definition of illegal logging was on the agenda of government officials and environmental group leaders in the US in late 1990s and early 2000s (Gulbrandsen & Humphreys 2009), the US government failed to initiate any formal policies to ensure legality compliance at that time. However, by 2008, the US would leapfrog from laggard to leader by requiring, in formal legislation, a ban on the importation of illegally harvested timber. The codification of this effort came in the form of an amendment to the Lacey Act, which expanded a 100-year-old law for preventing trafficking in illegally obtained wildlife to include plants.[6] The amendment was written broadly so that it could be applied to a range of forestry products including furniture, lumber, and pulp and paper products.[7]

In addition to forbidding the importation of illegal timber, the legislation contained two key provisions regarding enforcement. First, it required that those involved with the production and sale of wood products undertake "due care" to avoid importing illegal wood products. Second, lack of an "innocent owner" clause meant that accidentally importing illegal wood could not be used as a defense (Lacey Act 1900; Anderson 1995), but evidence of "due care" efforts could reduce non-compliance penalties. While enforcement and jurisprudence is still evolving, US agencies have indicated they will focus much of their attention on products whose materials were derived from the illegal harvesting of trees.[8] (Table 3)

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Table 3 Changes in government response to legality verification as transnational business regulation

	China	Indonesia	United States
2002	Problem focused elsewhere, all wood entering China declared legal	Legality system based on certificates, limited enforcement, and field visits	No policy
2012	Domestic legality verification system emphasizing within country tracking by government	Domestic legality verification system applied to entire industry with third party certification	Trade law modified to require "due care" of importing legal products

5. Strategies of government, business, and non-governmental organizations towards legality verification

5.1. Indonesia

LV came to the attention of a range of civil society and timber interests that had historically been divided over what objectives forestry governance instruments ought to address, as well as the most appropriate means for doing so.[9] Forest-dependent communities and indigenous groups were concerned about timber concessions granted to industrial forest companies, while environmental groups had long battled industrial forest companies to support their preferred certification program, the Forest Stewardship Council (FSC).

For these reasons, there was considerable skepticism among different interests about the potential of LV to overcome these differences. However, by the mid-2000s, industry, local communities, NGOs, indigenous organizations, and even auditors normally involved in forest certification, all came to consider LV to be in their strategic interests. These groups went so far as to participate in the multi-stakeholder processes designed to influence the SVLK.[10] Community groups came to see an opportunity for enhanced involvement in domestic forest deliberations. Industrial forest companies saw an opportunity in legality versus sustainability to meet, rather than ignore international demands. Likewise, government actors and agencies came to see LV as having the potential to help improve their anti-corruption efforts in general, and "good forest governance" initiatives in particular.

5.2. China

In China, domestic timber industry interests were immediately clear in that they viewed LV as a protectionist non-tariff trade barrier designed to force costs onto Chinese industry.[11] Partly as a result, the SFA was initially skeptical and focused most efforts on pacifying international concerns.[12] However, by the mid to late 2000s, the SFA changed its strategic orientation considerably – deciding that some type of proactive response to international demands for LV might benefit, rather than take away from their administrative authority. Likewise, in the late 2000s, industry associations changed their strategies, now arguing in favor of some type of formal response to international pressure. Similar changes occurred within the Chinese business community, who, in addition to lobbying the SFA to formally address international demands, also initiated its own efforts, such as creating online platforms for companies to jointly manage their supply chain legality assurance.[13]

5.3. The United States

Like Indonesia and China, the strategic positions of key environmental, business, and government agencies concerning LV underwent significant shifts in the US in the 2000s. Arguably, the

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most important of these was the 2002 decision by a leading environmental group, the Environmental Investigation Agency (EIA), to focus much of its efforts on illegal logging within tropical countries. Frustrated by the rather slow pace of global forest certification systems in curbing deforestation, and recognizing that their "direct targeting" campaigns against individual firms were insufficient, the EIA expanded its market efforts to find more systematic ways to reduce illegal activity. This strategic decision led EIA officials to recognize that the American Forest and Paper Association (AF&PA) – the very group it had battled over global forest certification systems and whose members it targeted over domestic forest practices – might have its own strategic interests in addressing illegal logging activities outside the US.

In a striking development, the AF&PA, the Hardwood Federation, and other related organizations eventually came to adjust their positions on LV, from initial skepticism to support. Likewise, the strategic orientation of a range of government agencies and Congressional leaders also shifted. Several US government agencies, especially the US Forest Service International Programs office and the US Agency for International Development (USAID), had increasingly focused on illegal logging since the 2000s. The agencies had done so directly by participating in international forums and indirectly through funding coalitions, such as "Responsible Asia Forestry Trade" (RAFT).[14] Within Congress, leading forest- and environment-focused representatives recognized that there was a unique opportunity to develop public policies that might at once appeal to environmental values and economic interests. In particular, Senator Ron Wyden of Oregon – who represents a state often polarized by environmental and timber interests – urged the emerging coalition to develop a proposal amenable to both communities. The combination of these strategic changes ultimately paved the way for the EIA and the AF&PA, now joined by a coalition involving mainstream environmental groups including the WWF, the Sierra Club, and the more conservative Conservation International (CI), to jointly work with the office of Senator Wyden, who ultimately proposed the formal amendment to the Lacey Act. Support from this unusual coalition helped pave the way for fairly swift Congressional approval of the amendment during a time of otherwise polarized partisan politics.[15]

6. Explaining domestic responses to TBG: From reluctance to formalization

What explains the shift in public policy approaches towards LV? What intervening role did strategies of relevant government, business, and societal interests play? We now assess three traditional factors that have been used to account for domestic support of TBG institutions: economic (inter) dependence; the norm of "sovereignty;" and "historical institutionalist" processes.

6.1. Economic (inter) dependence

Scholarship on TBG institutions has found that "economic dependence" on the targeted domestic sector (Drezner 2001; Drezner 2007) plays a key role in influencing whether, when, and how domestic support might occur.[16] Attention is placed on assessments of domestic business interests and/or government agencies on the strength of economic incentives (through either carrots or sticks) for possible support for TBG. Three additional insights emerged from attention to "economic interdependence" that can take place between consuming and producing countries. First, the country in which the source of international scrutiny arises can itself become the focus of the same complaint made by foreign competitors (Cashore *et al.* 2004).[17] Second, when companies that are the targets of international scrutiny produce non-substitutable goods, they have greater potential to pacify economic pressures by shifting attention to other countries.[18]

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Third, domestic politics can play a role in fostering TBG "Bootleggers and Baptists" (Vogel 1995), coalitions of business and environmental groups that work to target foreign competitors (Krueger 1995).

Several conclusions result from assessing the role of economic interdependence in explaining policy changes towards LV. First, Indonesia, China, and the US do share economic interdependence over global forest supply chains. Indonesia has been a significant exporter of timber, much of which is manufactured in China and exported to EU and US markets (White *et al.* 2006; FAOSTAT 2010). China itself is a substantial component of the global forestry sector, particularly since its accession to the World Trade Organization (WTO) (Gan 2004). The Chinese forestry sector is dependent on wood imports (Zhang & Gan 2007), the volume of which has been increasing following China's 1999 decision to impose quotas on domestic logging (Xu *et al.* 2006). Meanwhile, US consumers "depend" on manufacturer products from these supply chains as they are often far less expensive than similar domestic products.[19]

Second, as economic interdependence has been a constant during the timeframe of our study, it cannot, by itself, explain changes from opposition to support of legality as a form of TBG. Instead, interdependence appears to act as a "prerequisite," creating opportunities for leverage that can have varying degrees of influence. The empirical evidence from our cases appears consistent with this proposition. For instance, initial efforts to apply economic pressure were perceived by domestic economic interests in China and Indonesia as relatively weak. The 1998 G8 initiative to reduce the purchasing of illegal wood products, and the subsequent 2001 Bali ministerial summit in which Indonesia and the United Kingdom, US, and China signed MOU, contained no immediate economic consequences (Contreras-Hermosilla *et al.* 2007). Instead, they started the lengthy and ongoing EU Forest Law Enforcement, Governance and Trade (FLEGT) processes whose economic impacts would not be felt for years.[20]

The Indonesian government had, likewise, sent clear signals that it would require some type of meaningful economic incentive before formalizing its domestic LV efforts. In 2007, for example, Indonesia expressed to the European Commission (EC) that it would not sign a VPA until the EU imposed restrictions on imports from non-VPA countries.[21] Indonesia's approach of requiring clear economic incentives seemed to be reinforced following the failure of the European Parliament, in November of 2008, to pass the European Union Timber Regulation (EUTR) legislation giving preference to VPA countries.[22] It was only *after* the European Parliament's decision to reverse itself in November 2010[23] that Indonesia would finally sign the VPA in May 2011 (Samboh 2011).

Owing to its role in the middle of the supply chain, the influence of international market incentives, while important, was initially less pronounced and fairly abstract. However, by the mid-2000s, China increasingly became the focus of NGO activities to increase economic pressure to support LV. Following estimates that as much as 40 percent of wood entering the EU from Southeast Asia was illegal – primarily from Indonesia – China, the WWF, and allies (Hirschberger 2008) worked to influence timber procurement policies by the UK, Denmark, Germany, France, and Spain (Sun & Canby 2010) to include legality components. Taken in its entirety, the approximately 20 percent of China's total volume of timber exports to the EU represented by these countries (Brack & Saunders 2004; Brack 2005) was now subject to LV through EU member state procurement policies (Toyne *et al.* 2002).

While these economic incentives certainly garnered the attention of Chinese export-oriented firms, it was arguably the passage of the Lacey Act amendment and the EUTR that provided the clear market signals necessary for Chinese timber industry officials to assert pressure on the SFA

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to develop more formalized responses.[24] The China National Forest Products Industry Association, in particular, came to recognize that it might have trouble securing sufficient "verified" timber to maintain current access to US and EU markets[25] as it began to field requests from trading partners to verify legality compliance of Indonesia and other "high risk" countries.[26] The industry group reasoned that failure to act might result in reduced market access, while a proactive response might create the potential for economic advantage.[27] International NGOs that had been instrumental in leveraging international pressures were now working with Chinese businesses interested in meeting these demands by sponsoring intergovernmental meetings and funding training programs for businesses and SFA officials on LV (Hurd 2011).

Reinforcing the importance of economic interdependence between producing and consuming countries, the US forest sector became increasingly concerned that the importation of illegal timber from tropical countries was deflating prices, hurting the competitive advantage of domestic firms. These worries coalesced when a study commissioned by the AF&PA estimated that illegal logging deflated international prices from seven to 11 percent (Seneca Creek Associates 2004), causing billions of dollars of losses to the US timber industry. It was only after this report was produced that the timber industry decided to jointly collaborate with the EIA.

Hence, empirical observations from China, Indonesia, and the US do reinforce the importance of economic interdependence as a prerequisite for shaping uptake, but that this must be linked with some type of concrete signal that economic losses may result for non-adoption (sticks) and benefits for complying (carrots). However, while important, leveraging economic interdependence cannot, by itself, account for the shift from reluctance to formalization of TBG. First, though certainly more formalized, LV had not yet revealed any significant economic incentives, which were either operating "at the margins," or were promised to occur sometime in the future. Second, even if clear economic signals do materialize as LV is implemented, existing analysis shows that some countries, such as China, might suffer overall welfare losses (Gan *et al.* 2013). To gain a more nuanced and complete accounting, we turn to the role of sovereign Westphalian authority and the historical influences of institutional configurations in mediating and shaping evaluations for legality as TBG.

6.2. Sovereign Westphalian authority

A second key factor that TGB scholars have identified, and which requires further scrutiny in our case, concerns the norm of sovereign Westphalian authority that underpins the international system, that is, the concept that national states have the authority, legitimacy, and responsibility to determine public policies within their own territories. Just how non-domestic pressures might influence, or be influenced by, the norm of sovereign authority (Bernstein & Cashore 2000, 2012) has been of longstanding interest within international relations, international political economy, and comparative public policy scholarship (Biersteker & Weber 1996; Strange 1996; Krasner 1999). The bulk of the scholarship on sovereignty and TBG focuses on the relative strength of non-domestic pressures vis-à-vis the desire of the country in question to maintain, as much as is possible, its sovereign authority (Krasner 1996).

Given that the economic signals that emerged in the mid-2000s were, while important, rather abstract and/or focused on future incentives, we would expect sovereignty norms to "push back" on international demands. However, what seems to be at work in our cases is that the strength of sovereignty's role in "fending off" outside pressures may depend on whether TBG is targeting substantive policy changes that affect some type of substantive "on the ground" policy requirement (policy objectives or "ends) *or* the mechanisms to help achieve/enforce them (procedures or means).

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These distinctions, long applied by comparative and domestic public policy scholars (Hall 1993; Howlett 2000) (Sabatier & Jenkins-Smith 1993; Auld *et al.* 2010), also seem useful for advancing TGB scholarship. Evidence from our cases reveals that that Indonesia, China, and US governments took action only once they had evaluated impacts on domestic *substantive* policies as minimal or non-existent. That is, greater support occurred when governments and strategists recognized that support of LV as a TBG policy mechanism might assist them in enforcing their own domestic policies and priorities, rather than challenge them. Recognition of this has led us to theorize that some government officials and NGOs may even prefer that TGB approaches infringe on sovereignty over policy mechanisms, if doing so allows them to better realize their sovereign authority in creating domestic substantive policy objectives. Similarly, when TBG mechanisms do result in changes in domestic policies, but only on *procedures* – such as the imposition of multi-stakeholder inclusionary processes – rather than substance, the possibilities for domestic support seem to be higher.

For instance, Indonesia's decision to formalize LV in 2008 only came after it had assurances that international demands were not using LV as a "back door" to imposing international requirements on its legal forest regime. Indonesia made it clear, and TBG supporters accepted, that the standards of what constituted legality were still determined by the Ministry of Forestry.[28] Yet, at the same time, the Indonesian government did acquiesce to international influences regarding critical enforcement procedures and multi-stakeholder processes.[29] Before the SVLK, Indonesia's program for auditing legal compliance, known as BRIK, forbade the participation of international auditors. However, recognition that inclusion of international auditors might assist Indonesia's domestic "good governance" challenges, including addressing corruption challenges, while providing increased legitimacy to SVLK in international markets, led officials to ultimately accept international auditors. Likewise, negotiations with the UK over its VPA process led Indonesia to accept and implement changes to the ways in which stakeholders were included in forest policy deliberations.

In China, initial hesitation was not only owing to evaluations that LV was acting as trade barrier, but that it was also an unacceptable infringement on national sovereignty.[30] This orientation echoed the Chinese government's approach towards global forest certification initiatives, which its 12th five-year plan identified as being in conflict with an "authoritative source of rules" (Buckingham 2012).[31] For these reasons, even after international market signals were increased following the passage of the Lacey Act amendment and the EUTR, necessitating some kind of domestic response, Chinese officials, still concerned about sovereignty challenges, were not quite ready to support global LV efforts.[32]

Only after Chinese industry and government officials received in-person assurances from EU and US officials that LV would not be used to attempt to change domestic Chinese forest management policies, was acceptance finally triggered. A pivotal event in this regard was when, soon after the Lacey Act amendment passed in 2008, US government officials and members of US-based NGOs met with the SFA to outline their intentions and the approach of the Lacey Act. They took care to explain that their intention was not to initiate traditional protectionist trade intervention, but was instead designed to help countries, especially in the tropics, enforce their own laws.[33]

Sovereignty also played a key role in the US. The US timber industry was initially skeptical for two related reasons. First, officials were concerned that supporting international LV efforts might challenge the sovereign right of the US government to determine domestic forests policies. Second, as a result, the US timber industry was concerned that environmental groups might also use LV as a "back door" to impose further regulatory restrictions on the US forest sector. It was

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only after the EIA made it clear that it would not be using LV to influence or change US domestic forest management policies that the AF&PA and other industry players began negotiations in earnest.

Though tentative at first, leading timber industry officials ultimately determined that the EIA was committed to an approach that would not challenge the sovereignty of the US government in general, and would not target US forest policies or practices specifically.[34] So sensitive was the EIA to reinforcing its position on these sovereignty dynamics that it regularly met with industry to maintain communication and address outstanding issues. As one EIA official stated: "It's not about good and bad and the specifics, it's about the system and how it's set up and how folks are incentivized and motivated. I think that helped us when we saw an opportunity to reach out, coming from the industry side."[35]

Taken together, economic interdependence and sovereignty principles have played important roles in mediating domestic responses. A third overarching factor, however, also appears to carry explanatory power: "historical institutionalist" processes that shape the role, approach, and organizational capacity of government administrative agencies, business, and societal interests.

6.3. Historical institutionalist processes

Whereas economic leverage and sovereignty have relatively straightforward and linear effects, a focus on "historical institutionalist" processes draws attention to the role of institutions and policies in shaping the structure and function of government, business, and societal organizations, as well as complex feedback loops that reinforce, or alter, problem definitions, strategies, and norms (Skocpol 1995; Mahoney 2000). As these types of queries can fill volumes (Gale 1998; Humphreys 2006; Singer 2009), our purpose is simply to highlight the importance of integrating these accounts into domestic policy decisions on TBG that otherwise might be biased toward recent events or ahistorical processes. Drawing on existing research on TBG, we place attention on the role of "macro" government institutional settings, the formal responsibility of administrative agencies, and the organization of business and civil society interests (Cashore *et al.* 2004). We find plausible evidence that shifts in strategic position from opposition to support for LV seem to be as result of "lagged" effects of complex, historical processes with feedback loops across government, business, and civil society. Our review illustrates the need for TBG scholars to engage in understanding and assessing these historical institutional processes to explain divergence in each of our three cases and, as a result, develop robust theories of TBG emergence that ahistorical/linear analysis are unable by themselves to provide.

6.3.1. Indonesia

Attention to the role of historical institutionalist processes focuses attention on democratic and decentralization reforms that followed the fall of the Suharto regime in the 1990s.[36] As part of these *reformasi* initiatives, greater responsibility over forestry decisions was granted to regional governments (Casson & Obidzinski 2007; Singer 2009).[37] However, the federal Ministry of Forestry never fully supported these efforts,[38] resulting in an institutional type of "tug of war" between the central and regional governments (Purwanto 2005). These conflicts created confusion, overlapping authority, and contested governance, leading to widespread inefficiency and implementation barriers that exacerbated key challenges associated with illegal logging, including unsustainable levels of logging alongside reduced afforestation and investment (Purwanto 2005).[39]

The aftermath of these trends was overcapacity of domestic forest producers and mills, resulting in widespread bankruptcy of smaller firms. The federal government's initial response to these forest challenges was to "recentralize" forest management and control (Agrawal & Ribot

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1999; Singer 2009).[40] The government also brought back export control restrictions (that the International Monetary Fund [IMF] had initially required as a condition of receiving financing post-Suharto) in an effort to ensure more fiber for Indonesian mills, much of which was being sent to more lucrative markets abroad. Legislation was enacted in 2001 banning the export of logs, which was followed by a ban on sawnwood in 2004 (Chen 2006).[41] However, higher prices in international markets meant that many loggers were flouting the export ban (Chrystanto 2004), resulting in expanding the problem definition of illegal activity to include not only forest management practices, but also trade. As a result, Indonesia's forest producers came to view international demands for LV as not simply creating potential *constraints* for timber production, but would *help* to enforce export bans, *enabling* increased supply for their manufacturing facilities. And, the increasingly concentrated Indonesian forest sector – including concessionaires and manufacturing firms – came to see their support of LV as having the potential to secure access to lucrative markets while reducing competition with trading in illegal forest products. Recognition of these historical dynamics helps explain why industry participated in the VPA process[42] and why government agencies came to see LV as helping it focus, not only on supply challenges, but also demand.

These same post-Suharto reforms sparked a broader set of changing problem definitions concerning responsible forest management and a growing role for civil society. One legacy of decentralization efforts was greater attention to forest-dependent communities, forest livelihoods, and the rights of indigenous communities. These shifts led to the promotion of domestic "good forest governance" initiatives in general, and to tenure rights in particular. Both efforts championed the notion that local peoples could better benefit from, and participate in, the forest sector. The articulation of these interests and their increasing coordination and organization – something that was truncated under Suharto – was reinforced during the 2000s by a range of international development agencies and non-governmental interests, such as the Rights and Resources Initiative. The result was that LV came to be supported not only by industry players, but by communities who saw an opportunity to expand LV further to include legal rights of local peoples.

6.3.2. China

Two historical events help place the institutional setting that facilitated China's eventual acceptance of LV in context. During the late 1990s and early 2000s the Chinese forestry administration underwent several changes that conditioned shifts in domestic responses to LV. First, following several environmental crises in the late 1990s, the government of China decided to emphasize ecological and rural development goals (Ho 2006; Zhou 2006) over timber production. Second, and related, the Ministry of Forestry was downgraded in 1998 from a policy-setting agency to a technical-oriented administrative unit, the SFA (Hyde *et al.* 2003). While the SFA maintained its authority to levy transportation permit fees on all forest products to pay for its administrative costs, the downgrade caused forest-focused businesses – especially importers and distributors who were not affiliated with the SFA – to argue that they should not be subject to SFA-imposed taxes. These producers increasingly lobbied the Chinese commerce agency for relief, which, in turn, triggered a formal adjudication process to eliminate the transportation permits.[43]

At the same time, SFA officials slowly came to see LV as potentially helpful for entrenching and/or expanding their administrative purview. Officials reasoned that because they had recently been granted authority through China's 12th five-year plan (People's Republic Of China 2011) to develop a national forest certification scheme, they could fold LV into these efforts. Such an approach would allow the SFA to have authority to regulate domestic and *international sources*

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of timber within domestic supply chains. Officials assumed that this, in turn, would assist efforts to maintain authority for taxing as the SFA had already incorporated transportation permits – the mechanisms through which taxes were collected – into their national forest certification system. Expanding to include LV would ensure their continued oversight of importers and distributors of non-domestic wood sources. Hence, LV created an opportunity to reinforce SFA's authority and domestic forest polices governing certification.[44]

6.3.3. United States

A review of relevant historical institutionalist processes must go as far back as the initiation of incredibly durable endangered species legislation in the 1970s. The specific requirement that federal agencies maintain "species viability" influenced US domestic environmental forestry politics in the 1990s, which, in turn, shaped non-governmental, business, and government approaches to LV in the 2000s.

During the 1990s, US environmental groups had been engaged in highly publicized efforts to protect forests in the US Pacific Northwest. This culminated in litigation against government agencies for failing to ensure the viability of the old-growth-dependent Northern spotted owl, with US courts eventually ruling in favor of environmental groups. The courts required that much of the remaining old-growth forests be protected from commercial logging, and sweeping new environmental regulations were introduced. In response, the AF&PA launched a communications effort to better educate the US public and promote responsible commercial forestry practices, known as the "Sustainable Forestry Initiative" (SFI). The SFI developed sustainable forestry principles, requiring firms to self-report performance (known as "first party"), and contained provisions for association reviews (known as "second party"). At the same time, and following their Pacific Northwest success, US environmental groups formed central parts of a global coalition of environmental groups, social activists, and likeminded businesses, and helped develop the FSC as, arguably, the first full-fledged NSMD forest "labeling" program.[45]

However, reflecting the historical polarization, the US timber industry generally spurned the FSC as overly prescriptive. Instead, the AF&PA added a verification component to which members could decide individually whether to support. This "third party" approach, in which independent auditors would review firms according to standards and procedures, would, like the FSC, constantly change standards and programmatic orientations in an effort to gain or maintain market place. Today, the SFI is now established as a separate legal entity from the AF&PA, and is housed under the global certification umbrella program the "Program for the Endorsement of Forest Certification" (PEFC). What is most important from this historical review for understanding the broad coalitions of support in the US for LV is that two competing certification programs' approaches emerged from this polarization. Both programs accepted that *legal compliance* was a first step for any type of certification program.[46] While initially opposing third party verification 20 years ago, the US industry's response to US national forest politics on the one hand, and FSC efforts on the other hand, was to now firmly support independent third party verification of forest management practices. While more research would need to be conducted, it seems reasonable to conclude that these two consensus approaches that emerged, quite accidentally, across environmental and US industry actors over a 20 year period, paved the way for the "Bootleggers and Baptists" coalition that would emerge to support Lacey Act amendments in 2008 that championed these consensus "baseline" approaches on US international competitors.

Meanwhile, two other factors were interacting that also appear to help explain the shift of US timber interests towards supporting LV. The US forest sector was undergoing structural changes that, although arguably caused by changes in global wood markets, were reinforced and redi-

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rected by US policies. In particular, changes in tax policy favoring "Real Estate Investment Trusts" (REITs), meant that ownership of US lands shifted from vertically integrated corporations toward separating processing and timber production. The result was the rise of "Timber Investment Management Organizations (TIMOs) (Hickman 2007) amidst the decline of milling and manufacturing firms owing to international competition (Schuler *et al.* 2001). Inspired by their success in targeting Canadian lumber imports (Cashore 1997), some US forest officials had come to recognize how a focus on international trade, not just domestic legislation, might provide relief for a beleaguered industry. That is, frustrated by what they increasingly saw as regulations on US federal lands that put them at a competitive disadvantage, they could also focus efforts to increase regulatory compliance of their foreign competitors. It is in this context that LV efforts became viewed, if developed and implemented carefully, as helping level global playing fields.

Finally, we note that, at the same time, environmental groups' "problem definition" over forestry challenges began to shift. In part owing to increasing frustration on the part of environmental activists over the limited uptake of the FSC in the tropics, environmental groups expanded to include more focused efforts, from engaging on global "reduced emissions from deforestation and degradation" (REDD+) initiatives, to advocating more targeted efforts, such as "no net deforestation." These shifts seem important in understanding why the EIA would decide to support LV, which many NGOs had viewed only two decades before as woefully insufficient. EIA officials came to reason that a focus on "weeding out the worst" might have greater impacts than truncated forest certification approaches focused on rewarding the top.[47] Hence, it was the intersection of these distinct but related historical processes that appear to help explain the unusual "Bootleggers and Baptists" coalitions of NGOs and US forest companies to jointly support the Lacey Act amendment.

7. Conclusion

It is ironic that in a special issue devoted to TBG and the interaction between different forms of non-state authority, our analysis points to the role of domestic state policies in shaping TBG. In this regard, three areas emerge to which scholarship must place greater attention. First, while economic interdependence appears to be a prerequisite for TBG institutionalization, more work needs to be done to better understand the types of incentives that are likely to spark domestic responses. In our cases, formal (and seemingly durable) changes to US and EU trade laws appeared to create greater attention in the target countries than did previous "high standard" certification strategies focused on consumer preferences and/or more tractable procurement policies. In addition, the changes we witnessed followed the US and EU legislative requirements that were yet to be implemented, raising the need to distinguish domestic responses based on proactive strategic positioning from those that occur following entrenchment of TBG mechanisms.

Second, students of economic globalization and international influences must better distinguish the types of domestic behaviors and policies targeted by TBG institutions. Evidence from China and Indonesia reveal that countries are far more likely to accept, or even support, TBG when it is clear that the focus is on mechanisms and/or processes, rather than challenging the sovereignty of domestic governments over substantive policy decisions. On the other hand, the US, as the demand-side of the supply chain, only came to support LV when it was clear that sovereignty would not be challenged – substantively or procedurally. This leads us to theorize that where government capacity is relatively weak (Table 4) some degree of infringing on

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Table 4 Role of state capacity in shaping sovereign responses to transnational business governance

		Domestic State Capacity	
		Weak	Strong
Sovereignty infringement	Mechanisms	Support	Reluctant
	Standards	Pacify	Resist

national sovereignty over mechanisms and/or procedures might, somewhat ironically, reinforce sovereignty to create and enforce substantive policies.

Third, TBG scholarship must embrace, rather than sidestep, broader historical institutionalist processes that result in changing interests, preferences, and problem definitions – which work to facilitate or debilitate support for TBG mechanisms. A preliminary application of this approach revealed how triggered events that occurred over a generation ago are relevant for explaining why support for TBG would have changed from limited or non-existent support in the early 2000s to formalization by the end of the decade. To be sure, such efforts require more painstaking field research than does developing ahistorical data sets that apply some type of correlational analysis, but evidence from our paper demonstrates that TBG scholarship can only advance if methodological pluralism is embraced.

Taken together, our analysis raises important questions about the future potential of LV to address ongoing challenges of deforestation and degradation for which it was created. If our account is plausible, then it seems to imply a rather modest role for TBG systems in addressing substantive problems. After all, support only occurred when all countries recognized that national standards and approaches would not be challenged, but reinforced. Moreover, as Cashore and Stone (2012) point out, TBG systems might create inadvertent incentives for countries to remove some legislation and policies to make it easier to meet LV requirements. While this outcome depends on what types of laws and policies auditors verify for compliance, it raises the question whether LV as a type of TBG might lead to a "race to the near-bottom," rather than triggering a ratcheting up of global standards.

To address such key questions, TBG scholars must, we argue, expand beyond backward focused analysis to include theory development about the role of strategic choices in influencing unfolding pathways. This is important. A purely backward looking analysis would correctly emphasize these modest impacts and "ratcheting down" fears. However, a forward-looking approach focuses attention on the stages and causal logics through which uptake and influence might occur.

What are the lessons from our backward analysis above about how LV might contribute to a "ratcheting up" of global standards? Two key themes emerge. First, as a supply chain focused mechanism that must earn support from a range of businesses, governments, and NGOs, strategists championing LV must focus not only on standards – the focus of Vogel's "California effect" – but on the institutionalization of TGB authority. Whereas Vogel's original work focused on standards developed by governments that have sovereign authority to develop rules, TBG scholars must focus, in the first instance, on how such authority might be achieved (Cashore 2002). This leads us to theorize two stages of TBG institutionalization: the first that focuses on the processes through which widespread institutionalization along global supply chains might occur; and the second that results once authority is entrenched (Bernstein & Cashore 2007). These phases are important because there may be an initial inverse relationship between authority and standards development.

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7.1. Phase I

During Phase I, based on our historical research, it seems that the fewer substantive policy changes required of TBG, the more likely widespread support would be realized across global supply chains. Hence, when located in the first phase, standards must be modest to encourage and expand coalitions of "Bootleggers and Baptists" within and across countries. The logic reason for this is that the fewer the requirements of LV, the greater the number of firms that will benefit from constricting supply of their illegally harvesting competitors. And because the mechanism for reducing illegal products is the verification and tracking of legal timber, these firms will have a strategic self interest in helping promote such systems, as long as the cost of doing so is less than the increased rents that accrue from weeding out supply. Certainly the evidence above is consistent with this theory. In both China and Indonesia, the switch from opposition to support for LV only occurred after it was beneficial to domestic political coalitions and reinforced sovereignty over policy substance.

7.2. Phase II

However, once entrenched, we theorize that LV could be used to raise standards, either directly or indirectly, in ways that reward, rather than punish, participating firms. Hence, we conceptualize a "Phase II" in which supply chain tracking of legal verification is fully entrenched. At this time, standards could be increased because, as they would now be applied to all firms across the global sector, costs would be borne not by firms, but by consumers. This future cannot be predicted, because it requires that a number of unfolding strategic decisions be taken in ways that are consistent with this pathway. Our point is that, in Phase II, there could be a "ratcheting up" of global standards through LV in ways that reward participating firms, creating a result consistent with Vogel's "California effect." The difference is that the process we outline imagines not a linear "progressive incremental" approach of standards to diffuse upward, but of diffusion of authority in which standards must be set at a relatively low level. In sum, we envision a "two phase" process in which legality verification becomes institutionalized owing to low standards that unite wide ranging "Bootleggers and Baptists" coalitions that, once entrenched, can facilitate a "punctuation" upwards of standards that maintain, rather than dissolve, the coalition of business, environmental group, and government interests (Fig. 1).

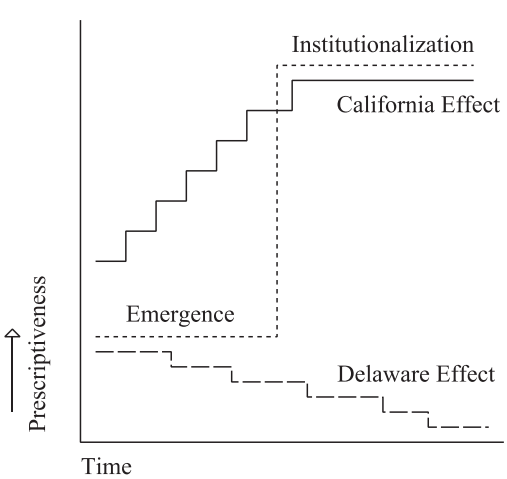

Figure 1 Transnational business governance interaction effects in legality verification.

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Our point here is that greater conceptual and theoretical attention must be placed on understanding the logics of what would be very distinct phases, rather than assuming that causal explanations apply across time. Such conceptual work has important practical implications. If we are correct, it is incumbent upon environmental strategists, when supporting LV, to assess on what phase they happen to be situated. If strategies are undertaken consistent with Phase II during Phase I, the entire evolutionary pathway could be derailed.

7.3. TGB interaction

In addition to these two phases, we also theorize two important ways in which LV might foster TBGI. First, we envision synergistic interactions with high-standard global certification systems. The reasoning is that improving global tracking systems would help address a key challenge currently facing certification systems. Scholars have found that one factor limiting the uptake of global certification systems is fragmented and rather limited tracking systems. The result is that much of the wood that emanates from certified forests is not recognized as such further down the supply chain. This works to limit uptake and, arguably, truncate potential demand. The difficulty of linking supply with demand that currently exists, has meant that much of the cost of forest certification tends to be borne by firms, rather than consumers. This, in turn, creates a situation in which high standard certification programs tend to gain most support among firms who already operate in government jurisdictions with high standards (Auld & Cashore 2012). We theorize that an unintended benefit of the institutionalization of initially "modest standard" LV supply chain tracking is that, by removing one of the key bottlenecks facing those wishing to build high standard forest certification – that is, the current fragmented nature of supply chain tracking – NSMD systems might be able to better meet supply with current, or potentially future, consumer demand.

Second, we theorize that LV might help "tip the scales" toward broader domestic good governance and anti-corruption efforts now underway in many developing countries, by providing increased incentives for baseline legal compliance. While such impacts cannot be predicted with certainty, their possible interaction is worthy of careful and sustained attention.

To be sure, there are potential countervailing trends. For instance, there are concerns that focusing on legal compliance might take pressure off high standard global certification programs or broader sustainable forest management and ecosystem protection policies. And, as Cashore and Stone (2012) hypothesize, because many developing countries have relatively prescriptive, but unenforced written standards (McDermott *et al.* 2010), LV's efforts to help domestic countries achieve compliance with domestic legal standards, may simply lead governments to "ratchet down" domestic requirements in order to make it easier for their companies and managers to meet international demands. Or, there may be, as Bartley theorizes in this volume (Bartley, 2014), simultaneous countervailing effects. He posits that LV may indeed erode the space for forest certification, but that it may reorient, in potentially positive ways, debates about forest governance at the domestic arenas in which much regulatory influence still resides.

Our point here is that scholarly lessons of TBG have much to offer to organizations making strategic decisions about these programs that will impact future pathways and development. Whether, when, and how TBG institutions might be capable of addressing enduring environmental and social challenges requires careful attention to domestic sources of opposition and support. Such a query requires that we focus not only on important linear relationships between economic incentives and sovereignty principles in mediating this pressure, but also on historical processes that unfold with complex feedback loops that shape the context in which

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problem definitions develop and interests are articulated. If TBG scholars are to help inform societal debates and inform practitioner strategies, we must also "apply forward" lessons and propositions.

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Notes

1 Our empirical methods included conducting over 100 in-person interviews between the winter of 2011 and the summer of 2013 with key members of the American, Indonesian, and Chinese forest policy communities, as well as comprehensive secondary and archival research. Given that our historical narrative approach draws on the in-person interviews throughout, we limit our references to specific interviews to references of a specific claim or fact.

2 Personal Interview, official with Greenpeace, 17 March 2011, Washington, DC.

3 The SFA is responsible for all issues related to forests or timber. The Ministry of Commerce and the Customs Bureau both have select responsibility over trade issues. Because of fragmentation and bureaucratic divisions in the Chinese government, the SFA has been the key agency participating in these LV issues.

4 Interviews with WWF and Green Panel Corporation officials, 20 August 2012, Beijing.

5 Interview Chinese Academy of Forestry (CAF) and WWF 22 August 2013, Beijing, China.

6 The law also required declaring the genus and species of the wood product being imported.

7 The act was written in a broad way that there was concern it may include products used in lipstick, rayon fabric, and even pine resin, which is used in food flavoring. However, industry and government experts felt that it was unlikely custom officials would be permitted to, or would apply, such a broad approach. Interviews, week of 20 March 2011, officials with US Department of Agriculture (USDA), Animal and Plant Health Inspection Service (APHIS), AF&PA, and National Retail Federation, Washington, DC.

8 Interview, USDA APHIS official, 21 March 2011, Washington, DC.

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9 Interview, official with *Badan Revitalisasi Industri Kayu* (BRIK) 28 February 2012, Jakarta, Indonesia and official with Lembaga Ekolabel Indonesia (Indonesian Eco-labeling Institute, LEI) 1 March 2012, Bogor, Indonesia.
10 Interviews, week of 20 February 2012, official with Multi-stakeholder Forestry Programme (MFP) and Forest Peoples Programme, Jakarta, Indonesia.
11 Interview, Forest Trends, 16 March 2011, Washington, DC.
12 Government procedures do permit civil society to influence forest policy through a formal comment period, but in practice civil society organizations have no direct contact with policymakers. However, it is important to note that international aid agencies and international NGOs increased their own interactions with SFA officials during the 2000s over LV. Interview, State Forest Administration (SFA) (c) 22 July 2013, Beijing.
13 Interview, official with China National Forest Products Industry Association, 11 July 2013, Beijing.
14 RAFT was a program funded by the US government to aid in the development of transparent forest management in Asia.
15 It is also important to note that despite this broad coalition, the changes were made within a relatively closed subsystem, with little public attention or fanfare. Organizations that might see prices rise as illegal imports become curbed, including manufacturers and retailers, had little knowledge or role in the initial legislative efforts.
16 These interaction effects draw on Bernstein and Cashore's (2000, 2012) distinctions between "economic globalization," which they defined as rising levels of foreign direct investment, trade, and capital mobility, and "internationalization" which refer to efforts of non-domestic organizations to influence domestic policymaking.
17 For example, the UK forest sector was one of the first to support TBG forest certification, but this was neither a result of international pressure nor because of the importance of the forest sector to the UK economy. Rather, support for forest certification made it easier for UK activists to advocate for forest certification beyond its own borders if the UK was participating as well.
18 Cashore *et al*. (2007) argue that these dynamics help explain why Finland, which produces a unique and highly sought-after type of paper product, redirected pressure from a focus on its own domestic standards to forest degradation challenges in the tropics.
19 The US is important in global trade by the scale of its imports, although the majority of China's forestry activity is sourced domestically. For example, in 2002, wood product exports from China to the US totaled five million cubic feet, while domestic consumption amounted to 18 million cubic feet (Howard 2003).
20 These initial efforts did lead timber concessionaire officials such as *Asosiasi Pengusasha Hutan Indonesia* (APHI) to recognize that some type of response might be necessary to maintain their access to the EU market. Interview APHI official, 23 February 2012, Jakarta, Indonesia.
21 Interview, Indonesia Ministry of Forestry (MOF) 24 February 2012, Jakarta, Indonesia.
22 The European Parliament adopted a regulation of the European Parliament and of the Council laying down the obligations of operators who place timber and timber products on the market (05885/4/2010 – C7-0053/2010–2008/0198[COD]).
23 The EU appears to have been spurred, in part, to adopt such legislation following passage of the amendment to the US Lacey Act.
24 Interview, official with SFA (a) 20 August 2012, Beijing.
25 Interview, official with SFA (a) 20 August 2012, Beijing.
26 Interview, Green Panel Corporation official, 20 August 2012, Beijing.
27 To be sure, there were differences about how LV would affect different organizations within the forest sector. In particular, there were concerns that small and medium sized industries, which had rapidly developed in the 1990s (Cao 2012), might struggle with the additional costs associated with verifying legal compliance (State Forest Administration 2008; Ma *et al*. 2009). However, the 2007 global

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economic downturn resulted in Chinese officials giving higher priority to maintaining international trade and market access that LV promised (Ma *et al.* 2009)

28 During the mid 2000s, The Nature Conservancy (TNC) led a consultation process for developing the national legality standard, but in 2008 the responsibility was shifted to the LEI on the basis of its national representation and technical expertise (Luttrell *et al.* 2011). At this time, an intensive public consultation began based on an ad hoc steering committee established under Ministerial Decree (SK) 70/Menhut – II/2006 that began a process of "socialization" to revise procedures to identify legal timber production (Telapak 2007). This approach meant that while the TLAS was generated by the VPA with the EU, the actual substantive requirements were generated within Indonesia by government agencies, in consultation with civil society and business interests.

29 Accreditation or auditing of legal compliance under the SVLK is undertaken not by the Ministry of Forestry, but by "third parties" who assess compliance to Indonesian law (Luttrell *et al.* 2011). Likewise, Indonesia accepted the international pressures to empower civil society, which is authorized to submit objections or note irregularities (Government of Indonesia and European Union Delegation to Indonesia 2011).

30 Personal interviews, official with SFA (b) 23 August 2012, Beijing.

31 Personal Interview, official with Forest Trends, 16 March 2011, Washington, DC.

32 Personal Interview, official with SFA (a) 20 August 2012; official with SFA (b) 23 August 2012; and official with SFA (c) 22 July 2013, Beijing.

33 Personal Interview, official with SFA (a) 20 August 2012, Beijing.

34 Interview, AF&PA 18 March 2011, Washington, DC.

35 Interview, EIA 17 March 2011, Washington, DC.

36 During the Suharto era, timber concessions were frequently used as patronage tools to maintain support from businesses and military leaders (Smith *et al.* 2003; McCarthy 2006). Illegal logging at this time often occurred through harvesting in areas allocated for community forestry concessions (Casson & Obidzinski 2002) or from local government officials imposing "illegal" taxes on forest production and/or requiring under-the-table payments to officials for ignoring violations (de Jong *et al.* 2003).

37 No. 22/1999 law on local governance.

38 The Federal Ministry of Forestry maintained authority to set forest area status or function, manage nature conservation parks, establish criteria and standards for natural resource conservation, and establish the maximum forest area available for commercial activities (Dermawan & Resosudarmo 2002).

39 The EIA estimate the rate of illegal logging in 2001 was as high as 73% (EIA and Telapak 2001).

40 Regulations no. 34/2002 and no. 32/2004

41 Before export bans were in place, domestic forest companies involved in manufacturing were skeptical of addressing illegal logging challenges, as this, they reasoned, might only serve to exacerbate over-capacity challenges (Antlov *et al.* 2006).

42 Interviews 23 February 2011 with APHI and LEI officials, Jakarta.

43 Interview, China Timber & Wood Products Distribution Association, 26 August 2013, Beijing.

44 Interview, SFA (a) 20 August 2012, Beijing.

45 The creation of the FSC was, in part, sparked by frustration over the failure of the world's government to agree to a binding global forest convention (Cashore *et al.* 2004).

46 The FSC and SFI both develop principles directing auditors to assess compliance with relevant existing government laws.

47 Interview, AF&PA and EIA, week of 17 March 2011, Washington, DC.

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